Preliminary

# Northline Rail Programme: October 2026 SteerCo

Programme status, schedule recovery options and decisions needed

Northline Transport Authority | 4 November 2026 | Programme Management Office

Confidential and proprietary. For internal discussion only.

# Agenda

| | | |
|---|---|---|
| 01 | Summary and decisions needed | 10 min |
| 02 | Schedule: critical path and handover date | 10 min |
| 03 | Risk: two risks escalated to red | 10 min |
| 04 | Cost: £40m increase since Gate 3 | 10 min |
| 05 | Workstream status | 5 min |
| 06 | Recovery options and recommendation | 15 min |

**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# The programme is six weeks behind its re-baselined date, and three decisions this month determine whether it recovers

## Handover has moved from 3 April to 15 May 2027

- The utilities diversion at Kings Cross finished six weeks late
- Systems integration is now on the critical path, with no float

## Forecast cost is £1,420m, £40m over the Gate 3 budget

- Utilities (+£22m) and signalling (+£15m) explain most of the increase
- Contingency still covers it, but falls to 3% of remaining work against a 5% floor

## Two of the top ten risks moved into red this period

- Signalling software maturity: the supplier missed drops 3 and 4
- Christmas possessions: Network Rail has confirmed 2 of 5 weekends

## We recommend running systems integration in parallel with fit-out (Option B)

- It costs £14m from contingency and is the only option that holds the May date
- It needs SteerCo approval by 14 November to keep the test windows

1. Re-baselined at Gate 3, March 2026.

**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# The programme is six weeks behind its re-baselined date, and three decisions this month determine whether it recovers

| Area | Status | Trend | Summary |
|---|---|---|---|
| **Schedule** | Red | ▼ | Forecast handover moved from **3 Apr to 15 May 2027**. The utilities diversion ran six weeks late; systems integration is now on the critical path. |
| **Cost** | Amber | ▶ | EAC of **£1,420m** against a £1,380m budget. Contingency covers the gap but falls to 3% of remaining work, below the 5% floor. |
| **Risk** | Red | ▼ | Two of the top ten risks moved into red: signalling software maturity and Christmas possessions. Neither has a funded mitigation. |
| **Stakeholders** | Green | ▶ | The operator and Network Rail still back the May date. Sponsor briefing held on 22 October. |

● On track ● At risk, recoverable ● Off track, decision needed ▼ Worse ▶ Unchanged ▲ Better

## Look-ahead: key milestones in the next 90 days

| Milestone | Baseline | Forecast | Variance | Status |
|---|---|---|---|---|
| Signalling software drop 4 accepted | 30 Oct | 8 Nov | **+9 days** | Red |
| Test windows confirmed by operator | 1 Nov | 14 Nov | **+13 days** | Red |
| Station 3 fit-out complete | 12 Dec | 19 Dec | +7 days | Amber |
| Systems integration starts | 6 Jan | 6 Jan | On plan | Green |

## Decisions needed from the SteerCo

1. **Approve £14m contingency drawdown for parallel systems integration**
   **Owner:** SRO **Due:** 14 Nov
2. **Confirm the December possession plan with Network Rail**
   **Owner:** Interface lead **Due:** 21 Nov
3. **Assign one owner for systems integration risk across client and contractor**
   **Owner:** Commercial director **Due:** 30 Nov

**Approving the £14m drawdown by 14 November protects the May 2027 handover date**

1. Re-baselined at Gate 3, March 2026. Trend compares with the September report.
**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

02

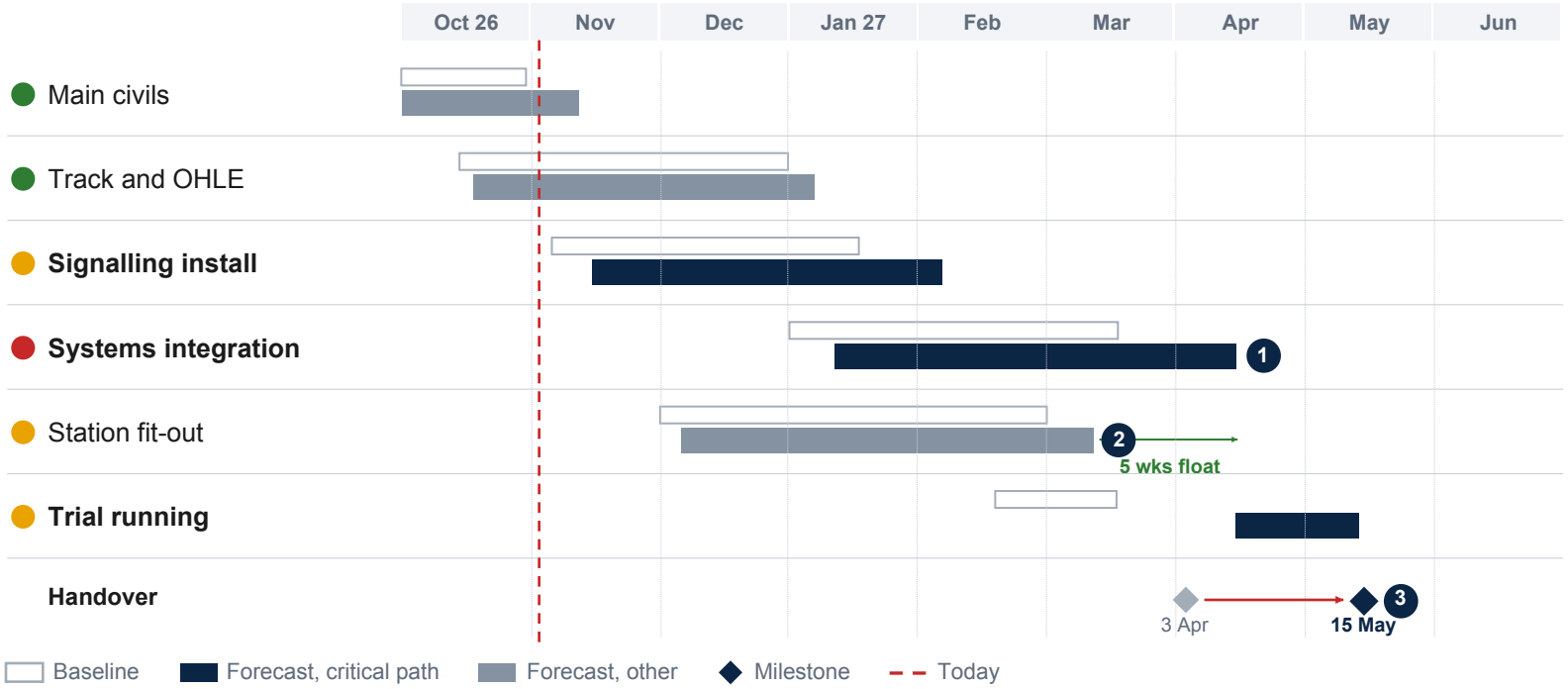
# Schedule

Critical path, float and the handover date

# Systems integration is now the critical path; handover holds only if test windows are confirmed by 14 November

## Integrated schedule, baseline vs current forecast

Level 2 programme schedule, October 2026 to June 2027




## What the schedule shows

1. Systems integration now drives handover. Its finish has slipped four weeks, to mid-April.
2. Station fit-out has five weeks of float, so it can move to make room for testing.
3. The 15 May date holds only if the operator confirms test windows by 14 November.

## Next steps

- Operator to confirm test windows (14 Nov)
- Delivery partner to issue a resequenced fit-out plan (21 Nov)
- PMO to re-run schedule risk analysis on the new logic (28 Nov)

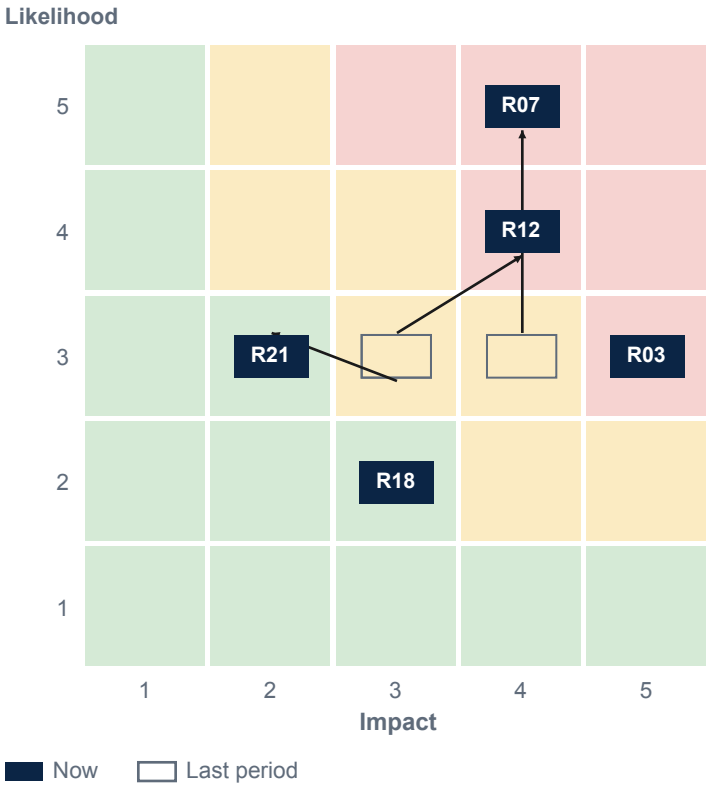
1. Baseline is the Gate 3 re-baseline (March 2026). Float is total float on the Level 2 schedule.

**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# Two risks moved into the red zone this period, and neither has a funded mitigation yet

## Top risks, current position

Likelihood x impact, October 2026




| ID | Risk | Owner | Score | | Mitigation and status |
|---|---|---|---|---|---|
| **R07** | Signalling software maturity: supplier missed drops 3 and 4 | S. Novak | **12 → 20** | ▲ | Recovery plan due 8 Nov; independent code review proposed (unfunded) |
| **R12** | Christmas possessions: 3 of 5 weekends unconfirmed | Interface lead | **9 → 16** | ▲ | Escalated to Network Rail route director; decision 21 Nov |
| **R03** | Utilities diversion claims from main contractor | R. Dube | **15 → 15** | ▶ | £6-9m exposure; valuation agreed, settlement talks under way |
| **R18** | Driver training capacity for trial running | K. Ahmed | **6 → 6** | ▶ | Second simulator booked from January |
| **R21** | Late design changes at Station 3 | A. Silva | **9 → 6** | ▼ | Design freeze agreed 15 Oct; change board in place |

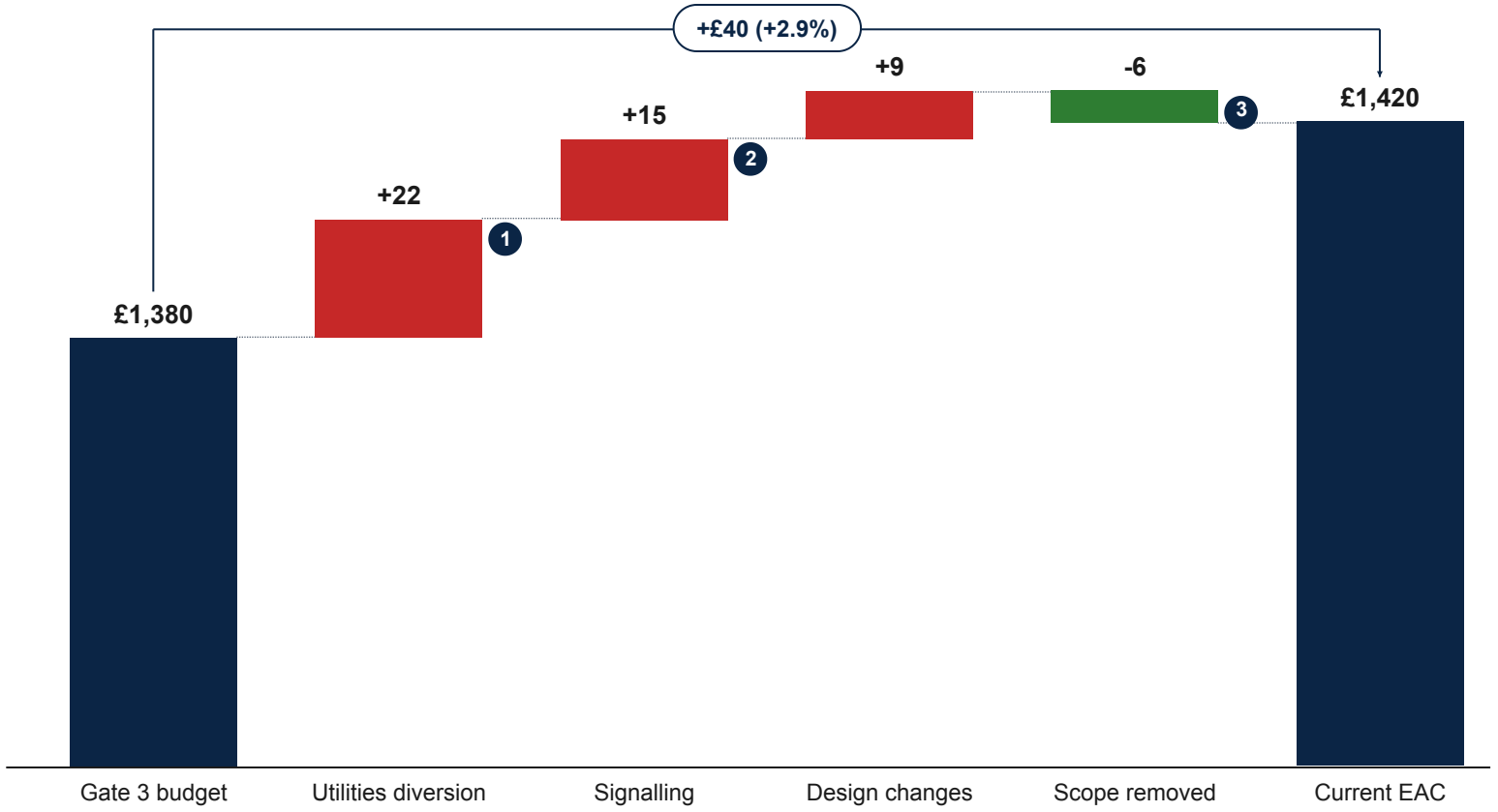
▲ Score rising ▶ Unchanged ▼ Score falling

1. Score = likelihood x impact on a 5 x 5 scale. Red is 15 or more; amber 8 to 14; green 7 or less.
**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# Forecast cost has risen £40m since Gate 3, driven mostly by utilities and signalling

## Bridge from Gate 3 budget to current forecast

£m, nominal, October 2026




## What drives the increase

1. Utilities added **£22m**: the six-week overrun at Kings Cross and the contractor's prolongation claim.
2. Signalling added **£15m** after two missed software drops.
3. Deferring the Station 5 canopy saves **£6m**, but the sponsor has not approved it.

## Open points

- £12m of unquantified claims sit outside the EAC
- Scope removal needs sponsor approval

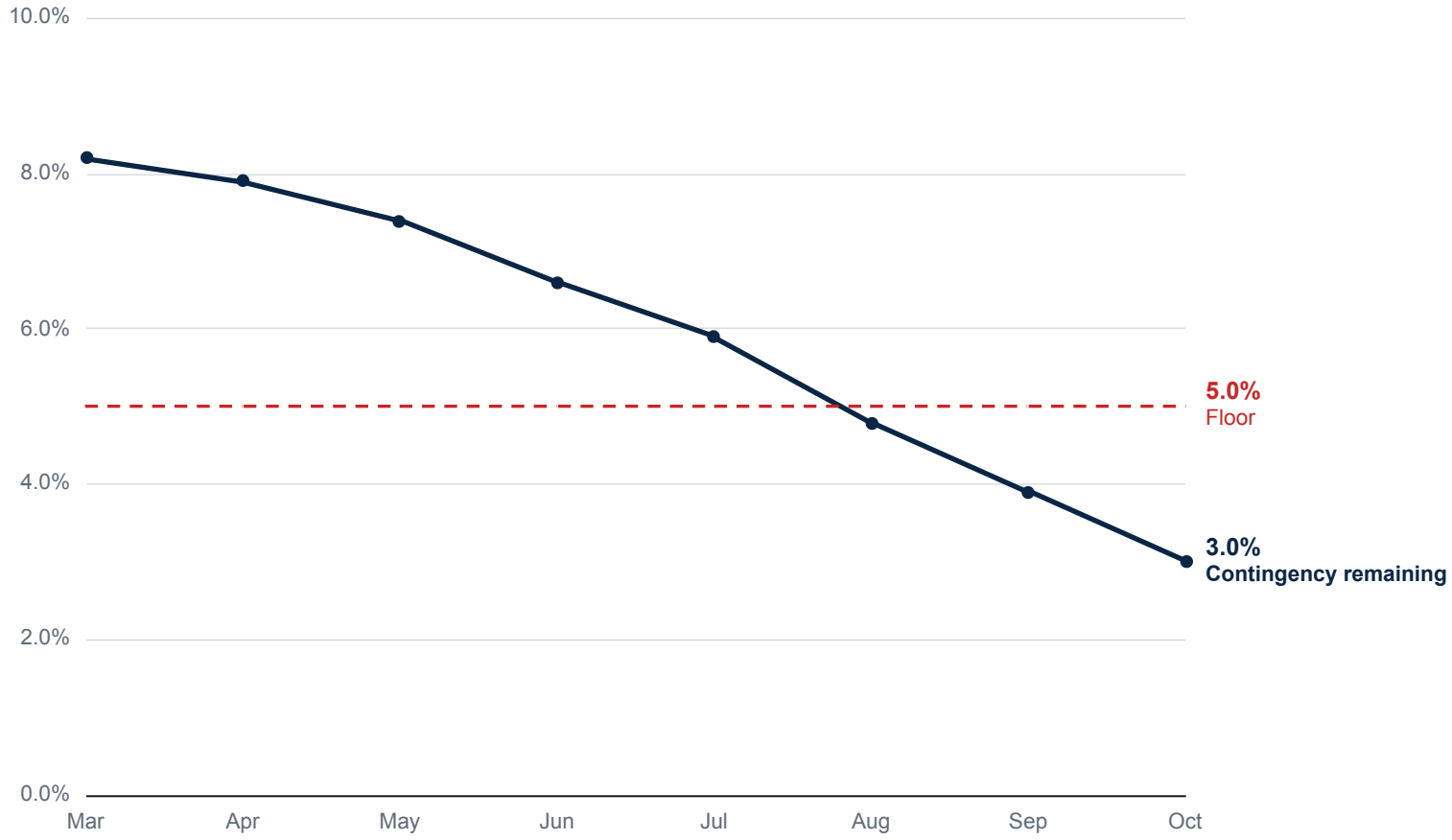
1. Vertical axis starts at £1,300m.
2. EAC = estimate at completion; excludes £12m of unquantified claims.

**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# Contingency has fallen faster than work has been completed since Gate 3

## Contingency remaining vs floor

% of remaining work, month end




## What the trend shows

1. Contingency crossed the 5% floor in August and has fallen about 0.9 points a month since.
2. At this rate it runs out by February 2027, before trial running starts.

1. Floor is the minimum contingency set at Gate 3: 5% of remaining work.

**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# Four of seven workstreams are on track; signalling and systems integration need SteerCo decisions

**6** ●
**Weeks behind baseline**
Handover forecast 15 May 2027

**0.91** ●
**Schedule performance (SPI)**
Down from 0.94 in September

**0.97** ●
**Cost performance (CPI)**
Stable for three periods

**£41m** ●
**Contingency remaining**
3.0% of remaining work; floor is 5%

| Workstream | Lead | Schedule | Cost | Risk | Trend | Key issue and next step |
|---|---|---|---|---|---|---|
| **Civils** | J. Patel | ● | ● | ● | ▶ | Complete; contractor claims being closed out |
| **Track and OHLE** | M. Okafor | ● | ● | ● | ▶ | Night-shift productivity 8% below plan; extra crew from November |
| **Signalling** | S. Novak | ● | ● | ● | ▼ | Software drop 4 missed; recovery plan due 8 Nov |
| **Systems integration** | L. Chen | ● | ● | ● | ▼ | Test windows not confirmed; decision needed 14 Nov |
| **Stations** | A. Silva | ● | ● | ● | ▲ | Fit-out resequenced to protect float |
| **Operations readiness** | K. Ahmed | ● | ● | ● | ▶ | Driver training on plan |
| **Commercial** | R. Dube | ● | ● | ● | ▶ | Utilities claim valued at £6-9m |

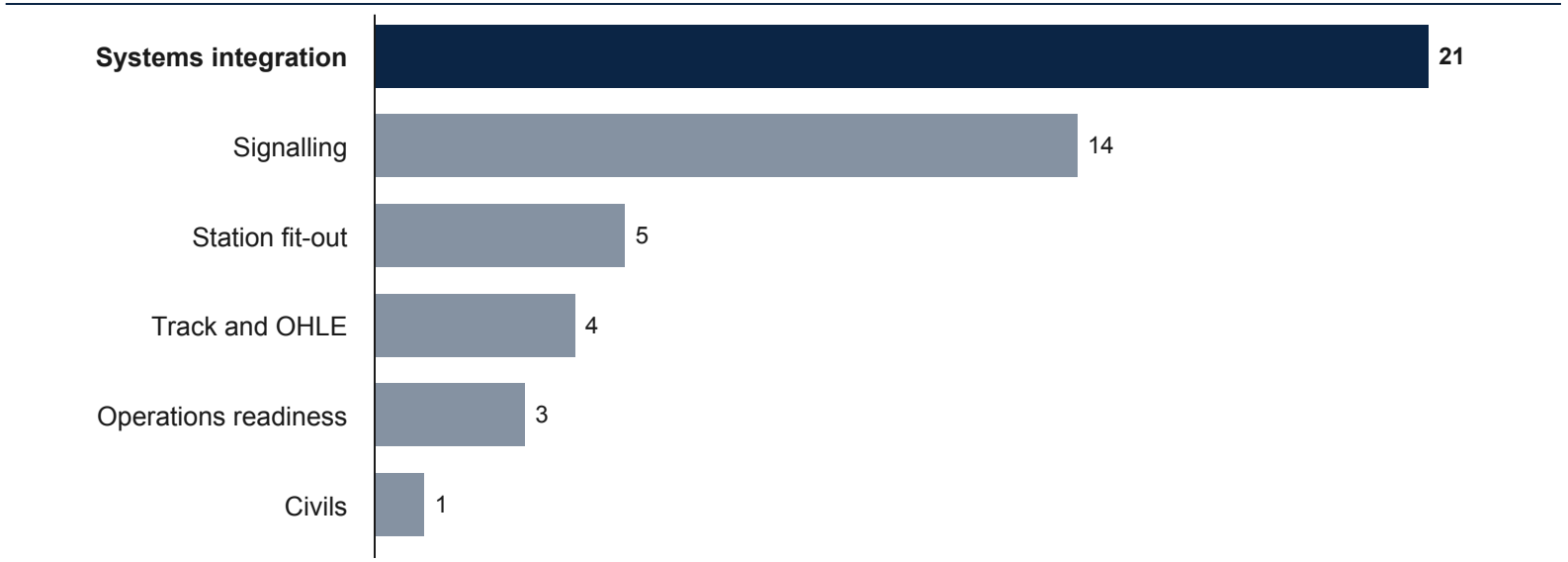
● On track ● At risk ● Off track ▲ Improving ▶ Stable ▼ Worsening

1. Green: on track. Amber: at risk but recoverable within tolerance. Red: outside tolerance, needs a decision. SPI and CPI are cumulative earned-value indices.
**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# Signalling and systems integration account for nearly three-quarters of the remaining schedule risk

## Contribution to schedule risk by workstream

Working days between P50 and P80 finish




## Implication

1. Mitigation money should go to systems integration and signalling first; together they explain 35 of 48 days.
2. Fit-out and track risk is small enough to manage within the workstreams.

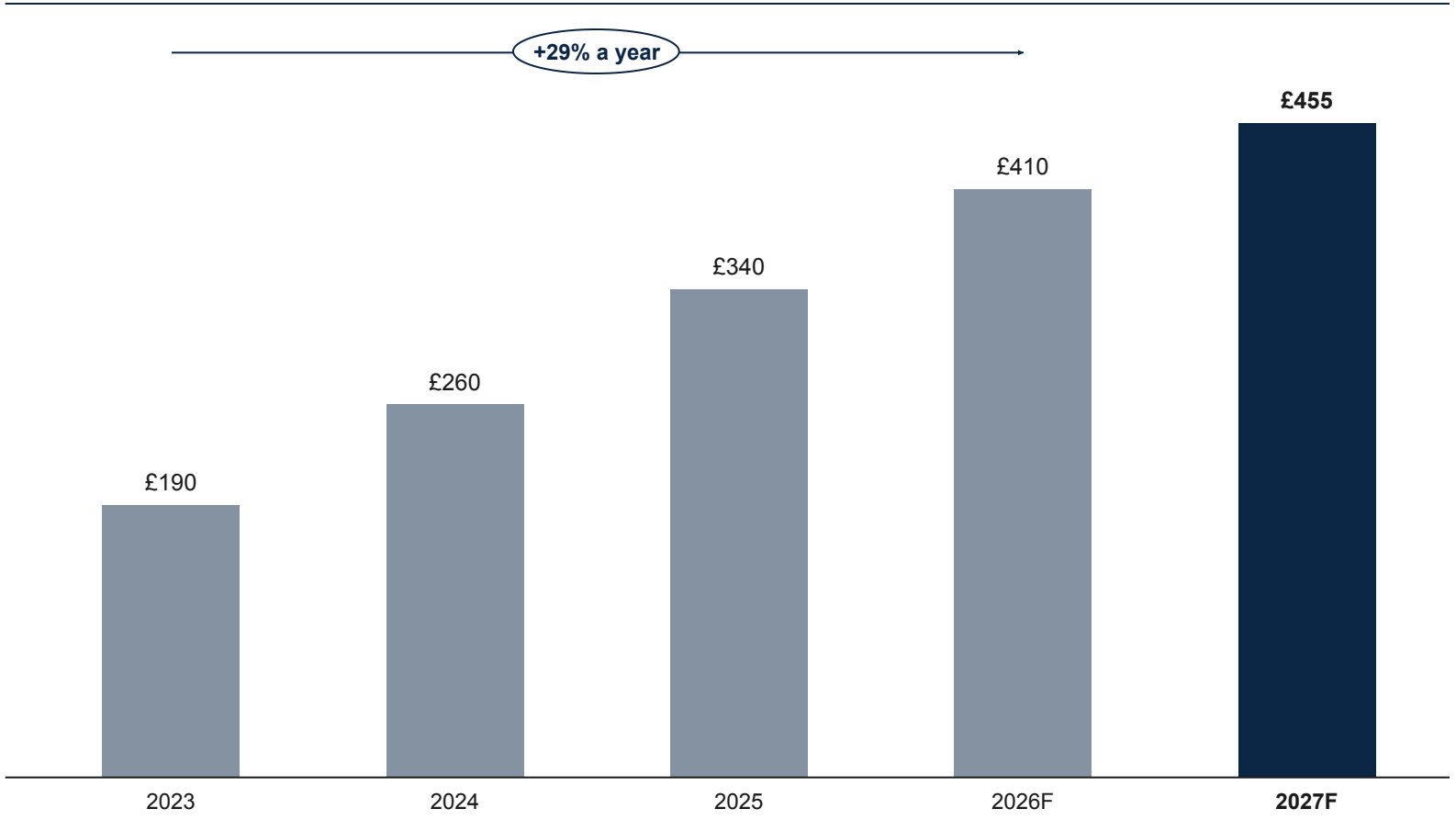
1. P80 minus P50 finish date from the October schedule risk analysis (1,000 iterations).

**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# Programme spend has grown 29% a year since 2023, and 2027 is the peak year

## Annual capital spend

£m, nominal




## What this means

1. 2027 needs £455m, the highest of any year; funding is confirmed for £430m.
2. The £25m gap must be closed before the Q1 2027 budget round.

1. 2026 and 2027 are forecasts.

**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# The three recovery options trade cost against the May 2027 handover date

## A: Re-baseline to September 2027

- No extra spend now
- Revenue service slips by four months
  - Lost fares of about £18m
- Needs a new Gate 3 approval

**Extra cost now**
**£0**

**Handover**
**Sept 2027**

**Contingency after**
**3.0%**

## B: Run integration in parallel with fit-out

- £14m from contingency
- Holds the 15 May 2027 handover
- Contingency drops below the 5% floor
  - Sponsor must approve the breach

**Extra cost now**
**£14m**

**Handover**
**15 May 2027**

**Contingency after**
**2.0%**

## C: Phased opening

- Open three of five stations in May
- £6m of temporary works
- Operator has not agreed to it
- Two openings mean two sets of assurance work

**Extra cost now**
**£6m**

**Handover**
**May 2027 (partial)**

**Contingency after**
**2.6%**

**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# Option B scores highest overall; it costs £14m now but is the only option that protects the May handover

**Long list (7)** → **Screened (3)** → **Evaluated** → **Recommendation**

| | Weight | **Option A** Re-baseline to Sept 2027 | **Option B** Parallel integration (+£14m) | **Option C** Phased opening |
|---|---|---|---|---|
| Protects May handover | 30% | ◔ | ● | ◑ |
| Cost to complete | 25% | ● | ◑ | ◕ |
| Deliverability | 20% | ◕ | ◕ | ◑ |
| Commercial risk | 15% | ◕ | ◕ | ◔ |
| Stakeholder support | 10% | ◔ | ◕ | ◑ |
| **Weighted score** | | **2.5** | **3.0** | **2.1** |

○ Weak ◔ ◑ ◕ ● Strong

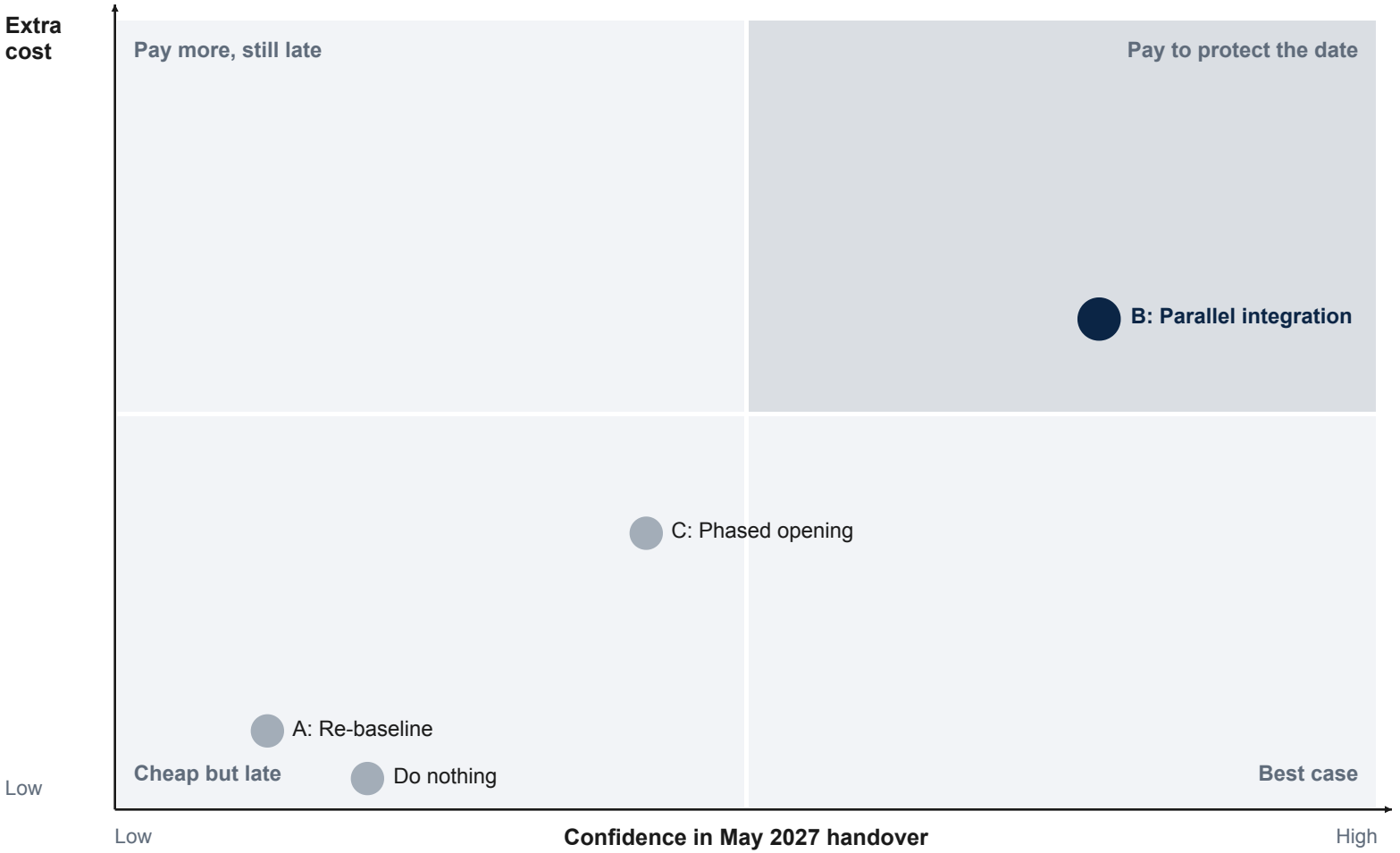
## Rationale

- Only option that keeps the 15 May 2027 handover
- £14m is within remaining contingency, though it takes the balance below the 5% floor
  - Floor breach needs sponsor sign-off
- The delivery partner has run parallel integration on two comparable schemes
- Option A is cheaper but delays revenue service by four months

**We recommend Option B: approve £14m to run systems integration in parallel with fit-out**

1. Scores are the PMO's assessment with the delivery partner, reviewed by the client commercial team on 28 October.
**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# Option B sits in the only quadrant that keeps both the date and an acceptable cost




## Reading the matrix

1. No option sits in the best-case quadrant.
2. B buys confidence in the date for £14m; A and C save money but miss May.

**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# Milestones due before the next SteerCo

## Milestones due by 4 December 2026

| Milestone | Owner | Due | Status | Comment |
|---|---|---|---|---|
| **Signalling software drop 4 accepted** | S. Novak | 8 Nov | Off track | Supplier confirms drop on 6 Nov |
| **Test windows confirmed by operator** | L. Chen | 14 Nov | Off track | Depends on SteerCo decision 1 |
| **December possession plan agreed** | Interface lead | 21 Nov | At risk | Route director meeting on 18 Nov |
| **Resequenced fit-out plan issued** | A. Silva | 21 Nov | On track | Draft shared with operator |
| **Schedule risk analysis re-run** | PMO | 28 Nov | On track | New logic loaded |

On track At risk Off track

**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.

# The SteerCo needs to make three decisions by 30 November to hold the May handover

| # | Decision required | Recommendation and impact | Owner | By |
|---|---|---|---|---|
| 1 | **Approve £14m contingency drawdown for parallel systems integration** | Approve. It is the only option that holds 15 May 2027; contingency falls to 2% of remaining work | SRO | 14 Nov |
| 2 | **Confirm the December possession plan with Network Rail** | Escalate to route director; without three more weekends, signalling slips a further three weeks | Interface lead | 21 Nov |
| 3 | **Assign one owner for systems integration risk** | Commercial director to own it, with a joint client and contractor risk budget | Commercial director | 30 Nov |

**Source:** Programme controls period 7 report (Oct 2026); PMO analysis. Fictional example.